

The Race to the Bottom as a Between-Level Selection Failure

Listing-Standards Competition, Governance as Extended Phenotype, and the Coalition Behind the Trust Argument

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Abstract

The International Corporate Governance Network argues that recent listing-regime reforms in the United Kingdom, Italy, and the United States weaken investor protection in pursuit of more listings, and that public markets compete on trust rather than on lax standards (Sisson and Brejdak, 2026). I accept the diagnosis and reject the mechanism. Drawing on Extended Phenotype Theory and multilevel selection, I reframe the race to the bottom in listing standards as a between-level selection failure: selection among venues for listings, a lower-level process, defeats selection of the public-market category for trust, a higher-level process, once the constraint coupling the two levels weakens. I argue that the relaxation equilibrium is evolutionarily stable, sustained by payoff structure rather than by error, which yields the prediction that downward reforms revert or fail to deliver liquidity only under an exogenous payoff shock, not under persuasion. I treat governance rules as the extended phenotype of investor coalitions, with the information-asymmetry, liquidity, and stewardship channels operating as mechanisms of differential fitness rather than as regulatory burden. The declared-versus-instantiated distinction explains the Brazilian post-2019 underperformance and the Deliveroo and WeWork cases as boundary crossings where private-market admissibility, tolerant of founder asymmetry, meets public-market adjudication. Applying the four-component Constitutional Lock-in Index to Korean corporate governance yields a provisional score near 0.34, in the reformable band, consistent with reform by ordinary commercial legislation during the 2024 to 2025 political crisis, and consistent with the semiconductor cycle, not governance reform, driving the re-rating. I then locate the limit of the trust argument: trust is not a system optimum but the optimum of the institutional-investor coalition that authors the case, since opacity is adaptive for founder and controller coalitions. The analysis preserves the falsifiability of the lock-in instrument by keeping selection neutral as to which coalition prevails. The policy implication diverges from the memorandum: venues cannot be persuaded out of a stable equilibrium; only a change in payoffs moves them.

Keywords: corporate governance; listing standards; multilevel selection; extended phenotype; evolutionarily stable strategy; Constitutional Lock-in Index; regulatory competition; minority shareholder protection.

JEL classification: G34, G18, K22, B52, P16.

1. Introduction

Global initial public offerings fell from 1,459 in 2020 to 1,133 in 2024, a decline of roughly 22 percent across five years, and since 2005 more than 12,000 companies in Europe and over 5,000 in the United States have delisted (Sisson and Brejdak, 2026, drawing on OECD, 2025). Policymakers have responded by loosening listing rules in the hope of attracting issuers. The International Corporate Governance Network reads that response as a category error. In its account, public markets are institutional frameworks built on transparency, accountability, and investor protection, and a race to the bottom on governance erodes the trust that distinguishes a stock exchange from any other trading venue (Sisson and Brejdak, 2026).

The diagnosis is correct. The mechanism the memorandum offers is not. The network treats the race to the bottom as a policy mistake correctable by argument, and treats trust as a property of the system as a whole. I argue instead that the race to the bottom is a structural outcome of selection operating at two levels, that the relaxation equilibrium is evolutionarily stable, and that the trust the memorandum defends is the optimum of a particular coalition rather than of the system.

This reframing yields five claims. First, regulatory competition among listing venues is a case of multilevel selection, and the race to the bottom is the decoupling of a higher-level constraint rather than a failure of coordination. Second, the relaxation equilibrium is an evolutionarily stable strategy held in place by payoffs, from which it follows that downward reform reverts only under an exogenous shock to those payoffs. Third, governance rules are the extended phenotype of investor coalitions, and the channels the memorandum cites operate as mechanisms of differential fitness. Fourth, the persistence of governance failure at the listing boundary is a problem of declared versus instantiated rules, which the Brazilian, Deliveroo, and WeWork cases display. Fifth, a multilevel account must specify for whom trust is adaptive, which exposes the advocacy structure of the system-trust framing while preserving the falsifiability of the lock-in instrument.

2. The Race to the Bottom as a Between-Level Selection Failure

Epistemological positioning. This paper belongs to a research programme (Lakatos, 1978) that applies Generalized Darwinism and Extended Phenotype Theory to legal and institutional systems. Popper (1959) supplies the demarcation criterion: the hypotheses advanced here are falsifiable, and their tests are specified below. Lakatos provides the architecture. The hard core of the programme, that institutions evolve through variation, selection, and retention, is shielded by a protective belt of metrics, including the lock-in index used below, whose weights are revisable without abandoning the core. The evolutionary epistemology that licenses treating legal change as a selection process descends from Campbell (1974) and Hull (1988).

Two levels of selection operate in the competition among listing venues. At the lower level, individual exchanges and the jurisdictions that regulate them compete for issuers. A venue that relaxes its standards captures listings from stricter rivals, so relaxation is locally adaptive. At the higher level, the public-market category competes against private capital, and the trait that confers fitness on the category as a whole is aggregate trust, meaning the confidence that lets dispersed investors commit capital to firms they do not control. The race to the bottom is what happens when

lower-level selection overwhelms higher-level selection: a trait that raises the fitness of the single venue lowers the fitness of the category.

This is the structure Gould (2002) described as hierarchical selection, in which a higher level constrains selection at a lower one. Sober and Wilson (1998) formalized the same tension as the opposition between within-group and between-group selection, where a trait favored within groups can be disfavored between them. Lawmakers do not need to misunderstand trust for the race to occur. They need only face a payoff in which any venue that holds its standards while others relax loses issuers. The dynamic is the institutional analogue of a free-rider problem inside a group, with the twist that the group, here the public-market category, has no enforcement mechanism of its own once the coupling between levels weakens.

The memorandum's own examples fit this reading. The United Kingdom's 2021 listing reforms broadened dual-class structures and removed mandatory shareholder votes for many transactions, and yet a 2025 survey found that 61 percent of scheme decision-makers prioritize shareholder rights and 55 percent judged that the reforms made British companies look riskier (Sisson and Brejda, 2026). Italy's measures to discourage delistings from the Milan exchange reduced minority access to general meetings for newly listed firms. In the United States, changes affecting the shareholder-proposal process under Rule 14a-8, and auto-voting programmes that default toward board recommendations, point the same way. Each move raises the attractiveness of a venue to the parties who choose where to list, the issuers and their controllers, at the expense of the parties who supply the capital. That is lower-level fitness purchased with higher-level fitness.

The coupling that disciplines the lower level can be institutional, such as a coordinating standard-setter, or reputational, such as the cost an exchange bears when a high-profile failure taints the venue. When the coupling holds, the higher level constrains relaxation. When it weakens, as under fragmented regulatory competition without a binding common floor, lower-level selection runs to a destructive local optimum. Naming the unit of selection matters for diagnosis. The reform does not fail because regulators erred about trust. It succeeds at the level it targets, the venue, and fails at the level it ignores, the category.

3. The Race to the Bottom as an Evolutionarily Stable Strategy

If the race is structural, the next question is whether it is stable. I argue it is. A strategy is evolutionarily stable when, once adopted by most of a population, it cannot be invaded by a rare alternative (Maynard Smith, 1982). Relaxation meets that test among listing venues. In a field where most venues have loosened standards, a single venue that raises them, the rare mutant, bleeds issuers to the others and loses fitness, so the high-standard strategy cannot invade. The equilibrium is held not by ignorance but by the payoff structure, and frequency dependence sustains it: the cost of holding standards rises with the share of venues that have abandoned them.

This is the logic I have used to model regulatory capture as a parasitic spontaneous order, in which an arrangement that extracts value without producing it persists because it is evolutionarily stable,

not because participants fail to see it (Lerer, 2026c). The conditions that activate the parasitic equilibrium, visible asymmetry between insiders and outsiders, organized intermediaries, and weakened enforcement, map onto listing competition, where controllers and their advisers are organized, enforcement is fragmented across venues, and the asymmetry between controllers and outside investors is the thing at issue.

The stability claim carries a falsifiable consequence. If relaxation is an evolutionarily stable strategy sustained by payoffs, then persuasion will not reverse it, and only an exogenous shock that changes the payoffs will. I have argued elsewhere that escape from a suboptimal institutional equilibrium requires such a shock rather than internal argument (Lerer, 2026b). For listing standards, candidate shocks include a systemic reputational event that raises the cost of laxity for every venue at once, or a coordinated withdrawal of capital by long-term investors large enough to alter the issuer's calculus. The prediction is testable against the historical record of listing-rule reforms: downward reforms should persist absent such a shock, and the liquidity gains their proponents expect should fail to materialize, which is consistent with the British experience reported by the memorandum.

4. Governance as Extended Phenotype

Dawkins (1982) showed that the causal reach of a replicator extends beyond the organism into the structures it builds, so a beaver's dam and a caddis fly's case are phenotypes of the genes that build them, selected because variants that build better structures leave more descendants. Legal and institutional rules occupy the same position for cultural replicators (Lerer, 2026a). Governance rules are not a cost imposed on firms from outside. They are the extended phenotype of the coalitions whose interests they encode, and they are selected by their effect on the survival and reproduction of those coalitions in a market environment.

Read this way, the three channels the memorandum cites are mechanisms of differential fitness rather than items of compliance. The first is information asymmetry in pricing. Underpricing at the initial offering compensates outside investors for what they cannot see, and strong governance narrows the gap, so a firm with credible protections relies less on the discount (Grinblatt and Hwang, 1989, as cited in Sisson and Brejdak, 2026). The second is secondary-market liquidity. Better-governed firms show narrower spreads and a lower probability of information-based trading, which lowers the cost of capital (Chung, Elder and Kim, 2010, as cited in Sisson and Brejdak, 2026). The third is stewardship. Pension funds with fiduciary duties commit long-term capital only where they can exercise rights effectively, so weakening those rights raises the bar for concentrated long-term exposure (Sisson and Brejdak, 2026).

The extended-phenotype framing adds what the burden-versus-benefit debate misses. A phenotype belongs to a replicator, and the question is always whose. The memorandum treats strong governance as the phenotype of the system. It is more exact to say that competing rule-sets are extended phenotypes of competing coalitions. Strong minority protection is the phenotype of the dispersed-investor coalition. Founder control through dual-class shares is equally a phenotype, of

the founder coalition, built to extend the founder's reach over capital the founder does not own. Both are products of selection. Which one prevails in a given venue depends on which coalition controls the rule-making environment, not on which is better for an abstract system. That observation organizes the boundary cases and the coalition analysis that follow.

5. Declared versus Instantiated Governance

A rule on the page is not a rule in force. The distinction between declared governance and instantiated governance, between what a charter says and what the institution does, organizes three cases the memorandum treats separately.

Brazil is the case of declared governance without instantiation. After the 2020 to 2021 window, 79 companies listed on B3, but only 9 outperformed the Ibovespa, and the cohort underperformed the index by more than 50 percent (Sisson and Brejdak, 2026). The memorandum's own reading is that many issuers assembled governance structures at the last minute to complete a transaction rather than building them before listing. In the vocabulary used here, they declared governance they had not instantiated, and the market priced the gap. This is the same divergence between declared and enacted conduct that appears in agent-based institutional simulation, where a system's stated compliance and its behavior under selection pressure come apart (Lerer, 2026d). The mechanism is general: where declaration is cheap and instantiation is costly, declaration is the dominant short-term strategy, and the gap is paid later.

Deliveroo and WeWork are cases of a different kind, boundary crossings between two selection regimes. In private markets, founder asymmetry is tolerated, because the parties who fund the firm negotiate directly and price the control premium privately. In public markets, the same asymmetry meets a different test. Deliveroo listed in 2021 with a dual-class structure granting the founder enhanced votes, fell by as much as 30 percent on its first day, and lost more than two billion pounds in value (Sisson and Brejdak, 2026). WeWork withdrew its 2019 offering after its prospectus exposed founder control and related-party conflicts, and its valuation collapsed from the 47 billion dollar level of its last private round (Sisson and Brejdak, 2026). The structures that private investors had accepted were rejected once the firm sought capital from public investors.

The transition is a change in selection pressure at the boundary between simulation and adjudication (Lerer, 2026a). A private market simulates confidence among a small set of negotiating parties. A public market adjudicates it, exposing the firm to a population of investors who price the founder's asymmetry without a private side-deal. The first-day collapse and the withdrawn offering are the adjudication rejecting a structure that the private regime had selected. Founder control did not become harmful at the boundary. It became visible to a population that prices it differently.

6. Lock-in and Reform Reversibility: Korea as a Reformable-Band Case

Korea, the leading counterpoint in Sisson and Brejdak (2026), is better read as a reformable-band case in which an exogenous political shock actualized a latent capacity for reform, while a semiconductor cycle, not governance reform, drove the re-rating. The memorandum casts the strengthening of minority protection as central to Korea's 2025 re-rating. That reading sets a puzzle for any lock-in account: if Korean corporate governance was entrenched enough to sustain a durable valuation discount, why did reform succeed in 2025 where comparable reforms fail for decades elsewhere?

The Constitutional Lock-in Index answers by measuring entrenchment before the reform attempt rather than inferring it from the result.¹ In its current formulation the index is $CLI = 0.30P + 0.25D + 0.20O + 0.25E$, where P is precedent density, D is doctrinal elaboration, O is professional organization, and E is enforcement infrastructure (Lerer, 2026a). It was validated on 60 labor-reform attempts across Argentina, Brazil, Chile, and Spain, with a McFadden R-squared of 0.74 and an AUC of 0.97. Its thresholds read as follows: below 0.30, ordinary legislation suffices; between 0.30 and 0.50, reform requires a wide legislative margin and a crisis window; between 0.50 and 0.70, only constitutional amendment moves the provision; above 0.70, nothing short of regime change does.

Applying the index to Korea extends it beyond its validation conditions in three respects, and I flag each before reporting a score. The validated domain is labor reform, while the Korean case is corporate and commercial law. The validated set comprises four jurisdictions, while Korea is a fifth, out of sample. The validated coding reached an intercoder reliability of 0.9335 across multiple coders, while the scores below are mine alone, without an independent coder. The Korean score that follows is an estimate, not a measurement, and I use it as a scaffold for the argument rather than as a datum.

Coding the pre-reform status quo, the regime of controlling-shareholder primacy that produced the so-called Korea discount, yields four component values. Precedent density scores low, near 0.30, because the status quo rested on the absence of enforceable precedent protecting minority shareholders rather than on a dense network of pro-controller precedent, and commentary on the 2025 reform noted that the scarcity of applicable precedent had limited the practical force of fiduciary principles. Doctrinal elaboration also scores near 0.30, because Korean scholarship criticized the discount and pressed for reform rather than defending controller primacy. Professional organization scores highest, near 0.45, because the legal apparatus around the chaebol and organized business opposition push the value up, while the assertive voting of the National Pension Service, the rise of minority-shareholder proposals at the 2025 annual meetings, activist

¹The four-component formulation used here (Lerer, 2026a) is the current specification of the index. An earlier five-component specification, oriented to constitutional reform, weighted text vagueness, judicial activism, treaty hierarchy, precedent weight, and amendment difficulty (Lerer, 2025). The transition is a protective-belt adjustment in the Lakatosian sense (Lakatos, 1978): the component weights are revisable, while the hard core, that institutional lock-in predicts reform outcomes better than formal entrenchment does, is retained. The four-component formulation is preferred here because its dimensions port across normative domains, whereas treaty hierarchy and amendment difficulty are specific to constitutional reform.

platforms that lowered coordination costs, and the absence of a specialized court fixing the norm push it down. Enforcement infrastructure scores near 0.35, because Korea has high state administrative capacity through the Financial Services Commission and the Financial Supervisory Service, yet that capacity was not deployed to entrench controller primacy, so the discount was an enforcement vacuum rather than an enforcement fortress. This last component is the one most exposed to interpretation, and I mark it.

The four components give a provisional score near 0.34, with a defensible range of 0.25 to 0.44 once each component is flexed by a tenth.

A value near 0.34 falls in the 0.30 to 0.50 band, reformable with a wide legislative margin and a crisis. The Korean sequence matches that mechanism. The amendment to Article 382-3 of the Commercial Act, which expanded directors' duty of loyalty from the company to the company and its shareholders, passed the National Assembly on July 3, 2025 with 220 of 272 members present voting in favor, and took effect on promulgation on July 22, 2025. An earlier version had passed on March 13, 2025 and been vetoed by the acting president. The reform moved as ordinary commercial legislation, not as a constitutional amendment, and it carried a wide cross-party margin only after the crisis window opened. Both features place Korea in the reformable band rather than in the constitutional-amendment or regime-change bands.

That window was a political punctuation, not a governance gradient.² President Yoon Suk Yeol's martial-law declaration in December 2024 drove the Kospi below 2,400. The index reached its 2025 low of 2,293.70 on April 9, amid tariff turbulence, before Yoon's impeachment in April and the June presidential election that brought Lee Jae Myung to office. The market turned on that election: the Kospi reclaimed 3,000 on June 20, 2025, less than a month after the vote, and before the reform passed on July 3 or took effect on July 22. The reform was a co-product of the punctuation, not its cause.

This dissolves the tension between two hypotheses I had treated as rivals. The first held that Korean lock-in was a matter of practice rather than constitutional entrenchment. The second held that an exogenous shock reset the system's basin depth. A score near 0.34 supports the first: the discount was not a high-lock-in constitutional barrier, which is why ordinary commercial legislation could move it. The timing supports the second: the moderate entrenchment actualized only when the martial-law crisis and the change of government opened the window. The two compound rather than compete. Moderate entrenchment made reform legally feasible; the crisis made it politically actual. This is the temporal structure modeled as punctuated institutional equilibrium, in which stasis persists as an evolutionarily stable strategy until a shock alters the relative payoffs of blocking versus updating (Lerer, 2026b; on the underlying concept, Maynard Smith, 1982; Eldredge and Gould, 1972).

²Korean market and legislative data are drawn from contemporaneous financial reporting and official data as reported by the Korea Herald and the Korea Times (December 2025 to May 2026), Financial Supervisory Service releases on foreign holdings and net flows, and Goldman Sachs Research for the 2026 earnings forecast.

The comparative placement is clean. At 0.34 Korea sits near Brazil, whose pre-2017 labor regime scored 0.40 and whose 2017 reform succeeded, and far from Argentina, which scores between 0.87 and 0.89 and has failed in every one of its labor-reform attempts across four decades. In corporate governance, Korea behaves like the Brazilian case, not the Argentine one.

The re-rating itself, however, is overdetermined, and attributing it to governance reform repeats the case-selection move this paper criticizes. Korean equities rose roughly 76 percent in 2025, the third such advance in the index's history after 1987 and 1999, but the engine was the memory-chip cycle, not the Commercial Act. Samsung Electronics gained about 125 percent and SK Hynix nearly quadrupled over the year, and the two together came to account for almost 35 percent of Kospi capitalization. Goldman Sachs Research tied its 2026 forecast of roughly 300 percent earnings growth to a memory supercycle, not to fiduciary law. Foreign investors, the constituency whose confidence the trust argument invokes, were net sellers of about 11.8 trillion won across the year, so the near doubling of their holdings by value was a price effect rather than an inflow. Governance reform belongs to the space of variation that Lee's pro-market platform opened; it did not select the outcome.

The richer result lies in what the low score leaves unexplained. If Korean corporate-governance lock-in scored near 0.34, why did the discount persist for decades? Because the mechanism producing it was not the kind the index measures. The discount rested on ownership structure, meaning cross-shareholdings and the control premium of founding families, coupled with an enforcement vacuum around minority protection. That is behavioral lock-in, not formal juridical rigidity. The index scores low and correctly predicts that reform was achievable; the persistence of the discount despite a low score is the residual the framework locates outside the index. This is not a failure of the instrument. It is its boundary, shown working and self-delimiting, and it marks where a measure of ownership-structure or behavioral lock-in, or the Institutional Hysteresis Rate applied after the fact, would carry the explanation the index cannot (Lerer, 2026a).

Two limits bound this reading. The codification risks circularity, because I scored the components from evidence about the pre-reform regime, and precedent density and enforcement infrastructure are exposed to hindsight, since the sources that document the old regime also document its undoing; a coding against Korean primary sources, conducted blind to the 2025 outcome, is what would break the circularity. The estimate is also mine alone and out of domain, so it carries none of the intercoder reliability that anchors the validated labor scores. I therefore present Korea as a candidate punctuated-equilibrium stratum rather than a measured case, and I extend the same status, and the same caution, to Japan, whose Tokyo Stock Exchange disclosure regime for companies trading below book value, introduced across 2023 and 2024, invites the identical treatment.

7. The Coalition behind the Trust Argument

The memorandum's strength is also its blind spot. The International Corporate Governance Network represents institutional investors, and its case for trust is the case that constituency would

make. That does not make the case wrong. It makes it partial, and a multilevel analysis has to say so, because the analysis loses its falsifiability the moment it adopts one coalition's optimum as the system's.

Trust is not a system optimum. It is the optimum of the dispersed-investor coalition. For other coalitions, opacity is adaptive. A founder with a dual-class structure is better served by limited disclosure and weak minority rights, and the Italian measures the memorandum criticizes, which reduce minority access to meetings in controlled companies, serve the controlling-shareholder coalition precisely because they lower transparency (Sisson and Brejdak, 2026). To call these arrangements a race to the bottom is to evaluate them from the dispersed-investor optimum. From the controller's optimum they are adaptive design. The neutral statement is that different rule-sets serve different coalitions, and that the contest among them is settled by relative power in the rule-making environment, not by a system-level good.

Holding this neutrality is what the Blumenberg constraint requires. Absolute metaphors, in Blumenberg's (2010) account, define the space of conceivable variation without determining which variant is selected. Applied to governance, a reform narrative such as trust, not a race to the bottom, defines what reforms are thinkable. It does not establish that strong governance causes the outcomes its proponents attribute to it. The Korean re-rating illustrates the point. The narrative casts governance reform as the driver, but the engine was a semiconductor cycle, and reading the rally as proof of the narrative confuses a co-occurring factor for the cause.

The same partiality operates among the regulators who reform. I have modeled institutional belief revision as heteronomous Bayesian updating, in which agents weight the reactions of authorities and peers above empirical outcomes when they update (Lerer, 2026a). A regulator who loosens listing rules in response to the salience of competitive pressure, rather than to evidence about what produces liquidity, is updating heteronomously. The British case is the signature: the reform followed the perceived threat of losing listings, and the subsequent evidence, that a majority of decision-makers judged British firms riskier afterward, contradicted the belief that motivated it (Sisson and Brejdak, 2026). The reform tracked the signal, not the result.

8. Falsifiable Predictions

The framework yields five predictions, each falsifiable against observable records.

1. Downward listing reforms persist absent an exogenous payoff shock, and the liquidity gains their proponents forecast fail to appear. A reform reverts only when a systemic reputational event or a coordinated capital withdrawal changes the issuer's calculus. The British reforms after 2021 are a provisional confirming case; a disconfirming case would be a venue that loosened standards and recorded a durable liquidity gain attributable to the loosening rather than to market conditions.

2. No single venue raises standards unilaterally without losing listings, unless a binding common floor restores the coupling between levels. The prediction is testable through listing migration after a unilateral tightening.
3. Reform effect size falls as institutional lock-in rises, regardless of reform direction. A jurisdiction with a higher four-component lock-in score should show smaller reform effects than one with a lower score, holding the reform constant. The Korea, Brazil, and Argentina ordering above is consistent with this.
4. The gap between declared and instantiated governance predicts post-listing underperformance. Cohorts that assemble governance shortly before listing should underperform cohorts that build it earlier, as the Brazilian 2019 to 2021 cohort did.
5. Founder-control structures face a larger discount in public markets than in private valuations. The public-private valuation gap for dual-class and controlled firms should exceed the gap for dispersed-ownership firms, and the Deliveroo and WeWork transitions are consistent with this.

9. Limits

Four limits bound the argument. First, the memorandum is advocacy, and its case selection favors the trust thesis, so the cases it supplies cannot by themselves confirm a framework that also predicts the trust thesis is partial; I have used its data for the facts it reports, not for the inference it draws. Second, the lock-in score for Korea is an estimate produced outside the index's validated domain and sample, by a single coder, and it should be read as a scaffold rather than a measurement until coded against Korean primary sources blind to the 2025 outcome. Third, the multilevel reading of regulatory competition imports a framework validated on labor and constitutional reform into capital-markets governance, a transfer the predictions above are meant to test rather than assume. Fourth, the causal weight of governance reform in the Korean re-rating cannot be separated cleanly from the semiconductor cycle with the data assembled here, which is the reason I treat Korea as a candidate stratum rather than a settled case.

10. Conclusion

The memorandum is right that public markets compete on quality rather than quantity, and right that loosening investor protection is unlikely to revive them. The mechanism, though, is not persuasion, and the good at stake is not a neutral system trust. The race to the bottom is a between-level selection failure held in place by payoffs, and it will yield to a change in payoffs, not to an argument about trust. The trust the memorandum defends is the optimum of the investor coalition that wrote it, a legitimate position to argue from and a partial one to reason from. A policymaker who wants deeper public markets should therefore stop trying to talk venues out of a stable equilibrium and start altering what the equilibrium rewards. Whether the coordinated capital that

could supply such a shock will organize before the next high-profile failure forces it is the open question.

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